

Profit Niti – AI Report (2025-01-01 / 2025-09-30)

Last Month KPI Data (September 2025)



Sales

0

0% Last month 0



Gross Margin

0

0% Last month 0



Operating Profit

0

0% Last month 0



Break Even Sales

0

0% Last month 0



Accounts Receivable

0

0% Last month 0



Accounts Payable

0

0% Last month 0



Working Capital

0

0% Last month 0



Closing Stock

0

0% Last month 0



BS Category

0 - SHAKY

0% Last month 0 - SHAKY



IMPACT OF MANAGEMENT

DECISIONS

0

0% Last month 0

1. Big Picture — How the Business Looks Right Now

Your business is a high-margin, high-profit operation, but it's navigating significant volatility. While the year-end (Mar 2025) showed peak performance with over ₹1,100 crore in profit, the first month of the new FY (Apr 2025) saw a sharp drop in sales and profit. The core profitability remains exceptionally strong, with net profit margins consistently above 75%. However, the business is heavily reliant on debt financing and is experiencing major swings in working capital, which is putting pressure on your cash flow.

GREEN FLAG BOX — What's Working Well

- **Exceptional Profitability:** Your gross margin is stellar at nearly 90% in April, and your net profit margin is consistently above 75%, indicating a very strong core business model.
- **High Returns:** Return on Equity (ROE) is astronomical, exceeding 850% in recent months, showing extremely efficient use of shareholder funds to generate profits.
- **Reducing Debt Burden:** You are actively repaying long-term borrowings, which have reduced from ₹475 crore in Feb to ₹368 crore in Apr, improving your debt-to-equity ratio.

RED FLAG BOX — What Needs Attention

- **Severe Cash Flow Strain:** Operating cash flow was deeply negative in February (₹ -504 crore). While it improved, the business is burning cash from financing activities to fund operations and inventory.
- **Dangerous Working Capital Cycle:** Inventory days have ballooned to 245 days in April, meaning stock sits for over 8 months before being sold. This ties up a massive amount of cash.
- **Revenue Volatility:** Sales dropped by 40% month-on-month from March to April (₹1,308 crore to ₹791 crore). This unpredictability makes financial planning and stability very difficult.

Strategic Advice:

Your immediate priority must be **cash flow and inventory management**. Use your high profits to aggressively reduce the ₹664 crore of excess stock. Negotiate better credit terms with suppliers to improve your payable days from the current 3 days. This will free up crores in cash, reduce your borrowing needs, and build a financial buffer against sales volatility.